

JPX Investor Day 2025



Derivatives Market

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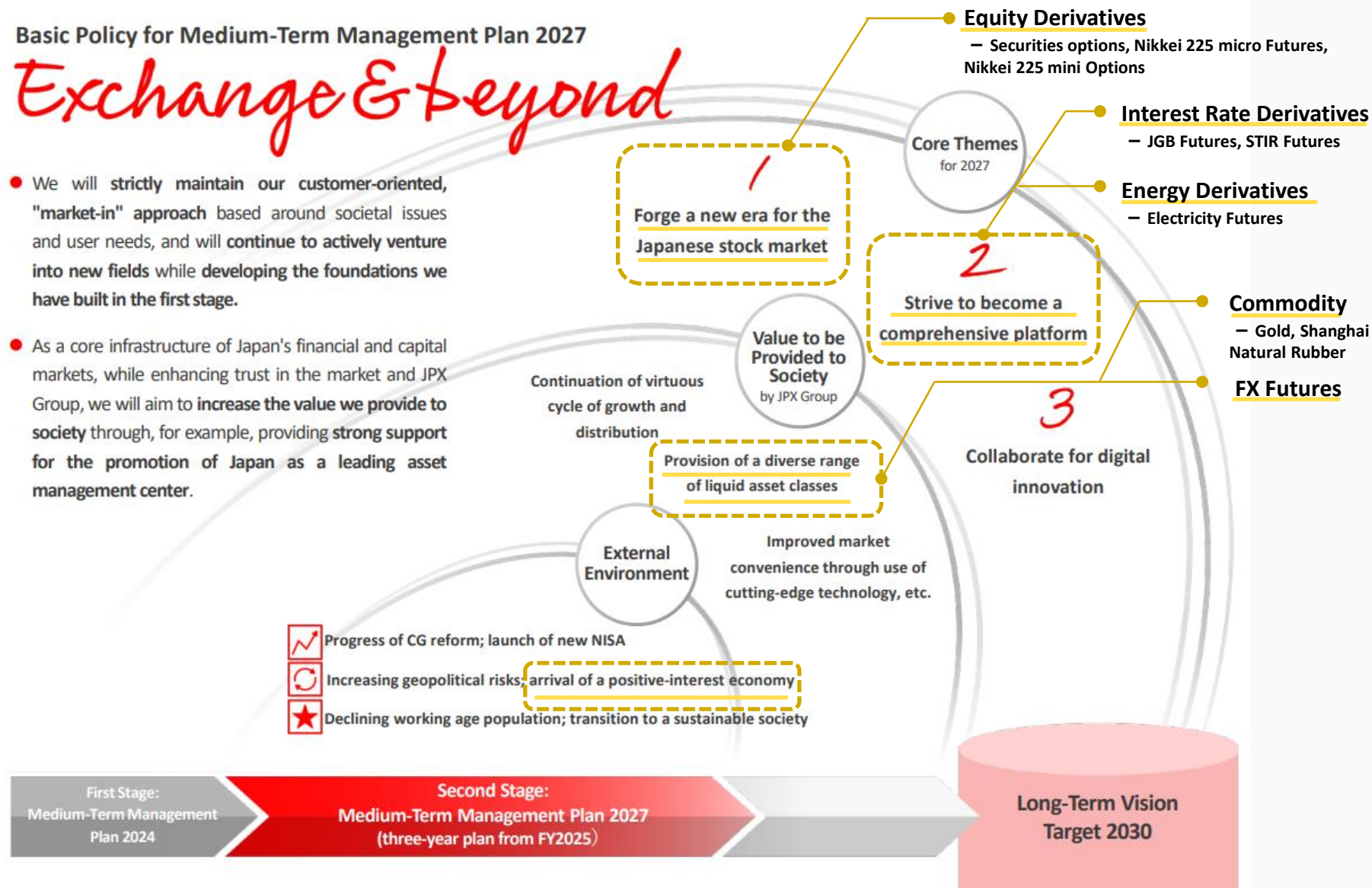
July 1, 2025

Positioning of Each Initiative in the "Medium-Term Management Plan 2027"

Basic Policy for Medium-Term Management Plan 2027

Exchange & beyond

- We will strictly maintain our customer-oriented, "market-in" approach based around societal issues and user needs, and will continue to actively venture into new fields while developing the foundations we have built in the first stage.
- As a core infrastructure of Japan's financial and capital markets, while enhancing trust in the market and JPX Group, we will aim to increase the value we provide to society through, for example, providing strong support for the promotion of Japan as a leading asset management center.



1. Trends in the Derivatives Markets Overall

2. Individual Trends

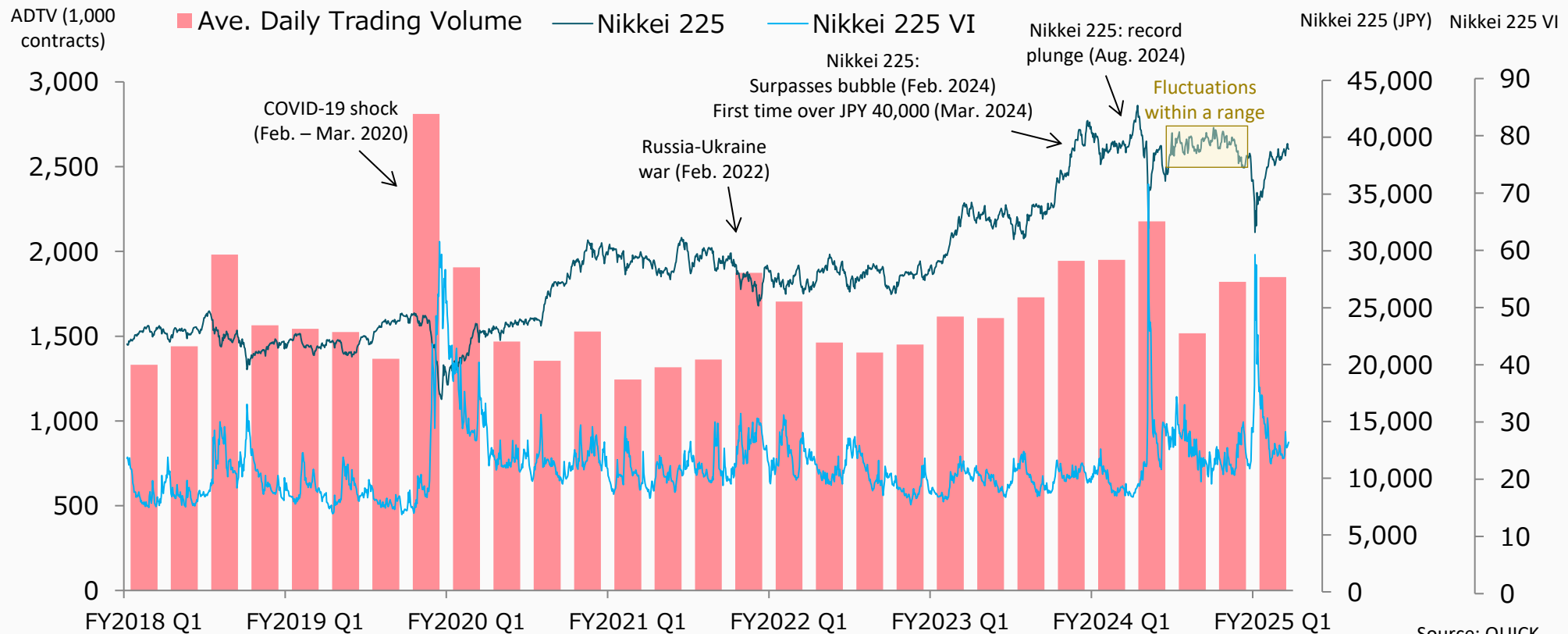
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Overview of Derivatives Market – Overall Trading Volume -

- At the beginning of FY2024, the market continued to ride the wave of expansion from the previous fiscal year, but extreme fluctuations in the stock market in August 2024 caused some participants to exit the market or reduce trading activity, leading to lower trading volumes (especially in major equity products).
- While ADTV for FY2024 was the highest ever at 1.86 million contracts (+140,000, 8.4% year-on-year) due to new small-lot products and increased trading of interest rate products stemming from financial policy changes, operating revenue dropped to JPY 17.31 billion (-1.19 billion, 6.4% year-on-year).

Derivatives Trading Volume (OSE/TOCOM combined)



Source: QUICK

Recent Initiatives

- Listing of new products and introduction of new rules to meet the diverse needs of market participants

Main Initiatives Since FY2023

May 2023	Listing of short-term interest rate futures (3-Month TONA Futures) (OSE)
	Listing of Nikkei 225 micro Futures/mini Options (OSE)
Mar. 2024	Listing of weekly contracts on electricity futures (TOCOM)
	Listing of JPX Prime 150 Index Futures (OSE)
May 2025	Listing of Shanghai Natural Rubber Futures (OSE)
	Listing of fiscal year contracts on electricity futures (TOCOM)
	Addition of Wednesday expiration dates to Nikkei 225 mini Options (OSE)
Apr. 2026	Listing of FX Futures (OSE)

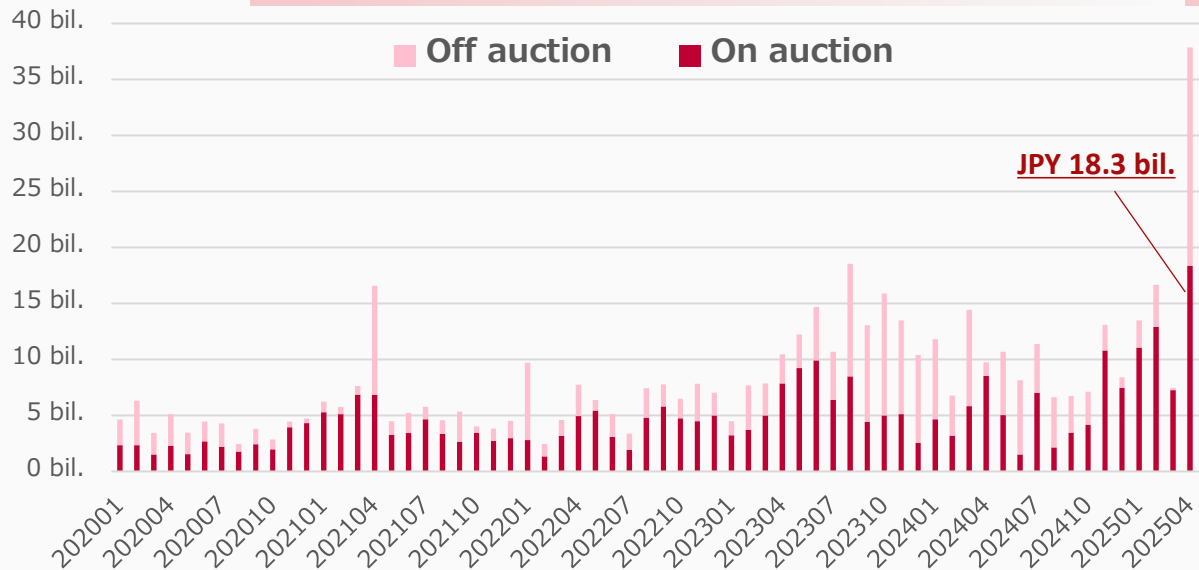
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Trends in Securities Options (Single Stock Options)

- Single stock options (SSOs) linked to individual stocks have struggled in Japan despite an expansion trend globally, but factors such as increased interest in Japanese stocks underpinned by the new NISA have brought an **opportunity for stimulation**.
- Trading volumes in 2024 (in contracts) were 11.1 billion in the U.S., 170 million in Hong Kong, 160 million in Korea, and 1.49 million at OSE
- Seizing this opportunity, OSE has succeeded in increasing the number of securities companies that handle SSOs and the number of issues for which quotes are provided. As a result, trading has increased mostly in auctions, with **on-auction trading value reaching JPY 18.3 billion, its highest in the past ten years, in April 2025**.
- Moomoo Securities has begun offering SSOs to retail customers.
- From September 2024, market makers have begun providing quotes for SSOs whose underlying assets are individual stocks (12 assets in total).
- We plan further expansion of issues for which quotes are provided in the second half of 2025. We will also continue support for securities companies with the aim of more additions, as well as carrying out joint PR and other activities with those already connected.

Monthly Notional Amounts for SSOs (from Jan. 2020)

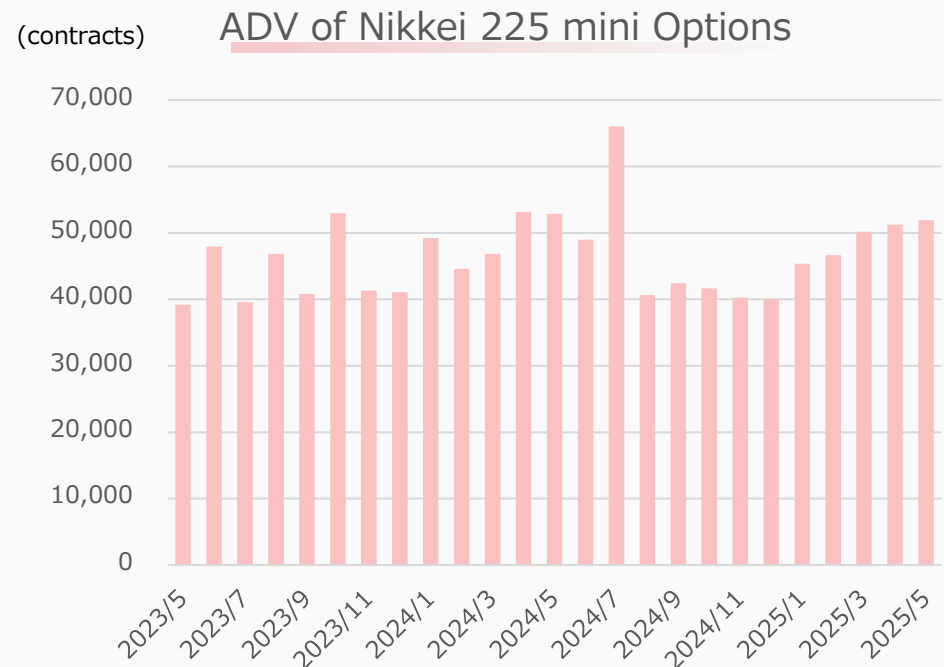
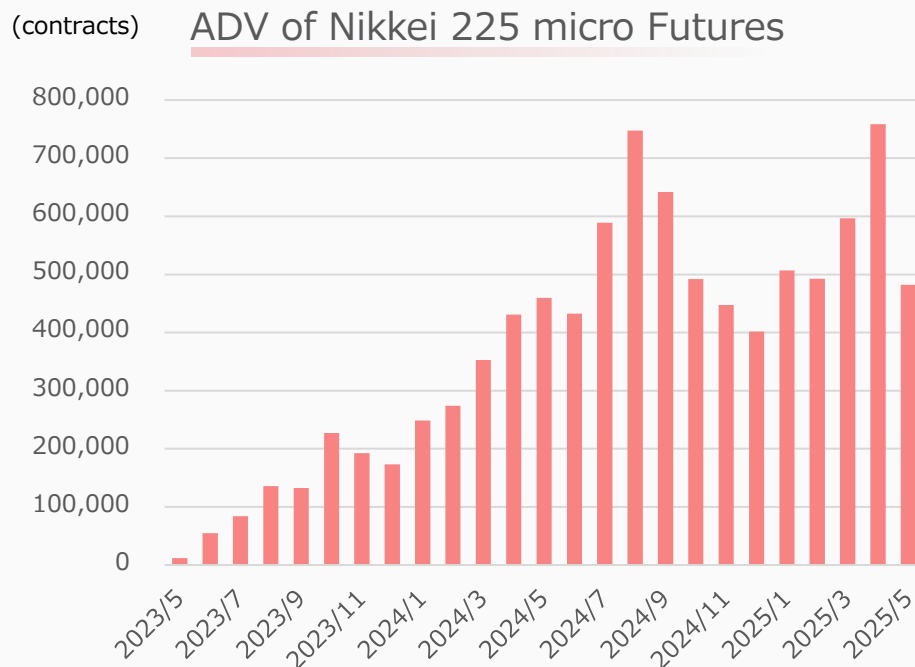


Underlying Assets Eligible for Market Maker Scheme

Underlying Asset	
1306	TOPIX ETF
1321	Nikkei 225 ETF
5401	Nippon Steel
6920	Lasertec
7203	Toyota Motor
7974	Nintendo
8035	Tokyo Electron
8058	Mitsubishi
8306	Mitsubishi UFJ Group
9101	Nippon Yusen
9983	Fast Retailing
9984	SoftBank Group

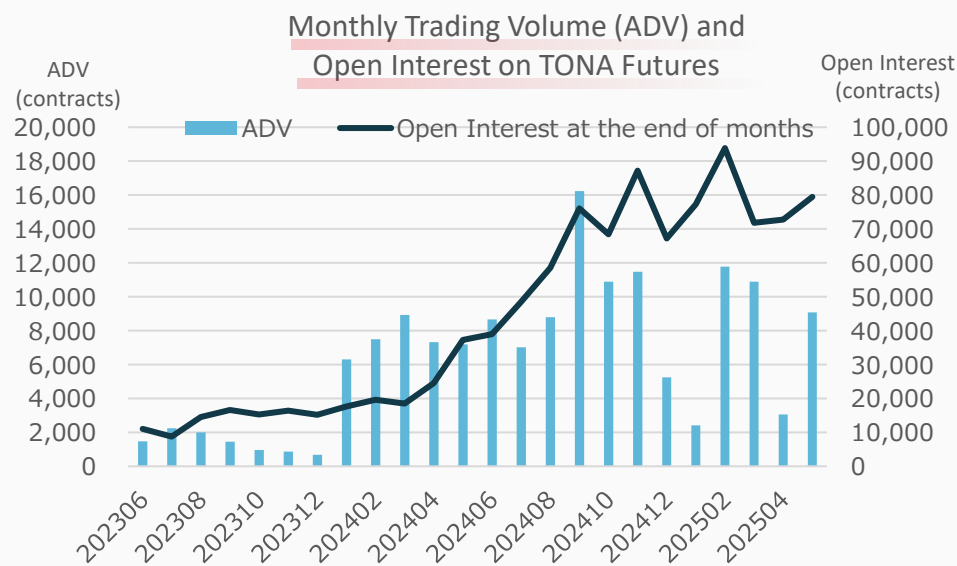
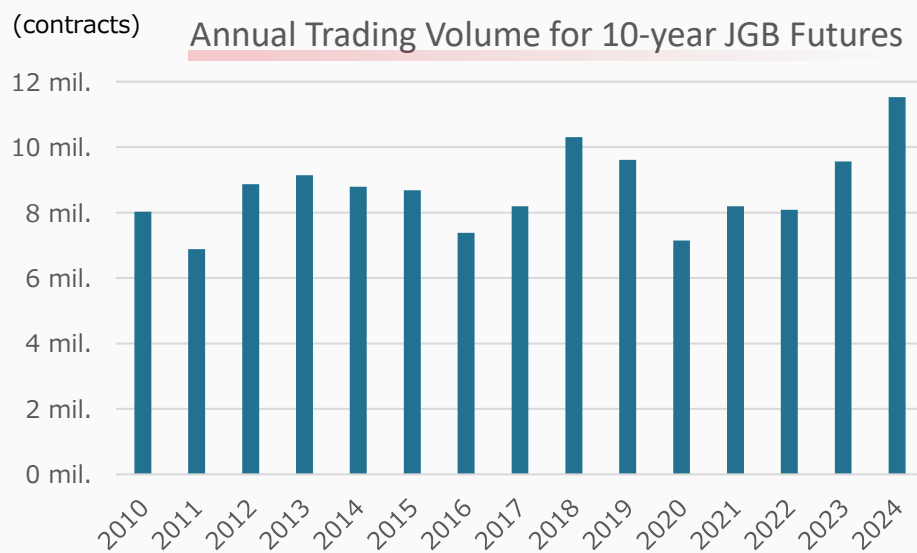
Trends in Nikkei 225 micro Futures and mini Options

- Micro Futures and mini Options were listed in May 2023 to fulfil investor needs for small-lot trading.
- Trading volume for micro Futures has steadily grown, with ADV exceeding 500,000 contracts since FY2024. Usage as an entry-level product for those with no previous experience of derivatives has increased.
- Notional amounts for micro Futures are JPY 400,000 per contract and margin is around JPY 20,000 per contract (as of June 20)
- Weekly Friday expiry for mini Options allows targeted risk management. These are being used by both domestic and overseas investors (institutional and retail) as a more effective risk hedging tool against the occurrence of events.
- Given this, in May 2025 we added mini Option contracts with Wednesday expiry dates.



Trends in Interest Rate Derivatives

- Attention is high to JPY interest rates due to changes in financial policy. Last year's **trading volume for 10-year JGB Futures**, the benchmark for long-term interest rates, was the **highest since 2007 at 11.53 million contracts**.
- The 10-year JGB Futures market will celebrate its 40th anniversary on October 19, 2025, providing an opportunity to promote the market.
- For **3-Month TONA Futures, short-term interest rate futures** which launched in May 2023, interest in the market has also jumped since interest rates turned positive in March 2024, sparking a **huge increase in open interest (around 80,000 contracts as of end of May 2025)**.
- OSE has expanded market maker quotes to increase and stabilize trading and is discounting fees by half until September 2025.
- With further rate rises expected, OSE aims to further increase the convenience and liquidity of JPY interest rate derivatives to allow effective hedging of JPY interest rate risks.

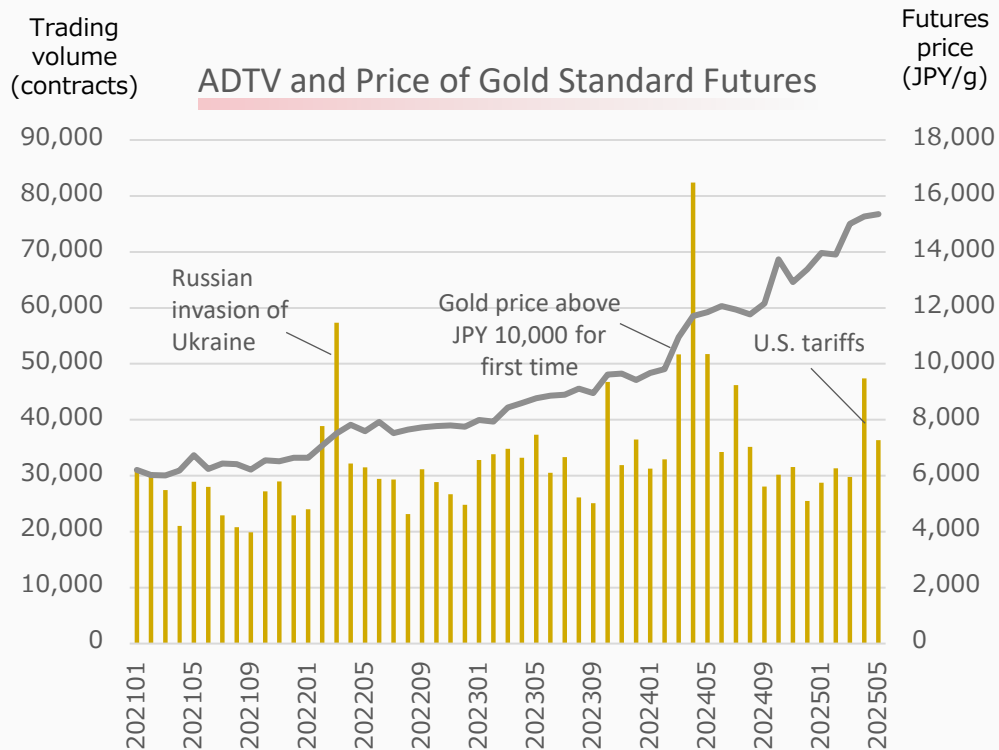


Note: TONA is an abbreviation of Tokyo Over Night Average rate and represents the interest rate for transactions in which short-term funds are borrowed without collateral in the call market and repaid the next day. In Japan, TONA has been identified as an alternative risk-free rate to LIBOR.

Trends in Commodity Futures (Gold/Rubber)

Gold Standard Futures

- As the price of gold continues to break records, interest from retail investors is holding at a high level.
- Trading volumes are strong, partly due to the entry of commercial entities using the market for import/export purposes. **Trading volume last year was the highest in the last ten years at 9.45 million contracts.**



(Total of gold standard, mini, and rolling-spot futures adjusted by size (mini and rolling-spot at 1/10))

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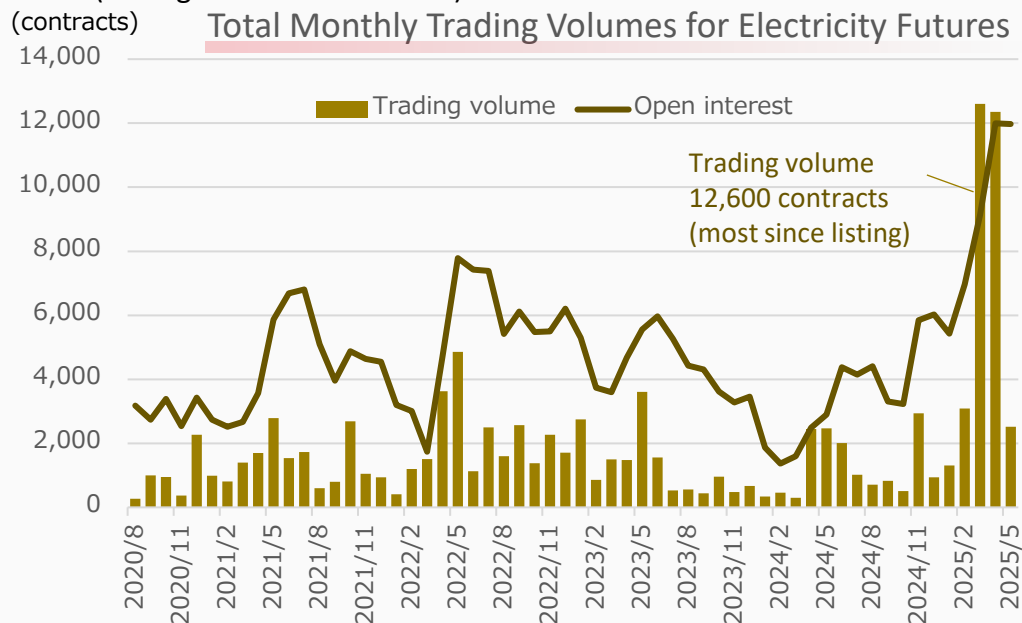
Rubber Futures

- OSE has listed **cash-settled futures whose underlier is the price of Natural Rubber Futures listed on the Shanghai Futures Exchange (SHFE)**
 - While trading volumes of rubber futures on SHFE are the world's highest (ADV of 400,000 contracts), they are hard to access from outside China and related things such as margin are CNY-denominated.
 - There is user demand from both domestic and overseas commercials for the purposes of hedging their China inventories.
 - OSE expects arbitrage trading to lead **to increased liquidity in the OSE rubber market, and by extension the commodity market as a whole.**
 - Trading volume in the first 3 weeks was 1,330 contracts with open interest of 409 contracts (as of June 12)

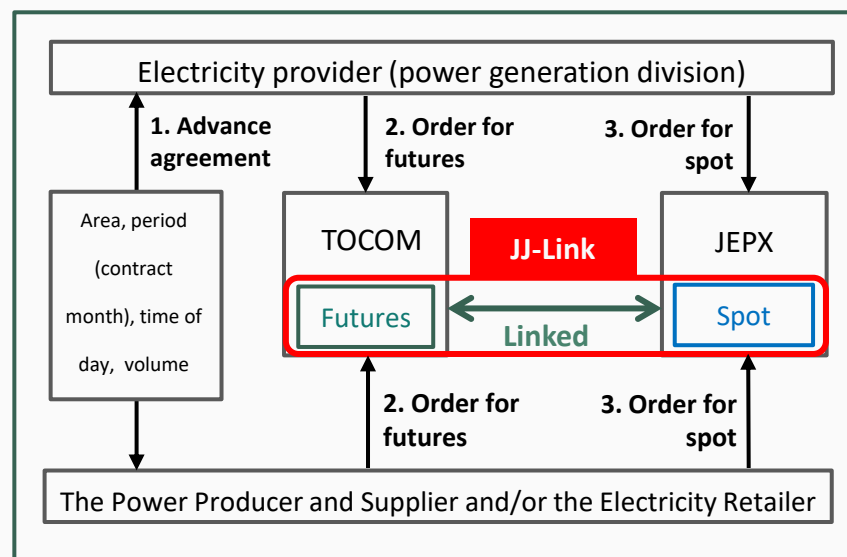


Trends in Electricity Futures

- As Japan is the world's fifth largest electricity consumer, even compared to other countries, there is huge potential in the energy futures market.
- With a lack of reliable major FIs having been an issue, Mitsubishi UFJ Bank was the first to enter the market (Sept. 2024) and has contributed to its sharp expansion since March. We are continuing promotional activities with the aim of further entries by major FIs.
- For participants such as major electricity providers to trade on a large scale, the market needs a highly reliable major FI to act as a clearing broker.
- In response to investor needs for hedging on a fiscal-year basis, we added fiscal year contracts on May 26, 2025.
- OSE also aims to further improve the convenience of the JJ-Link service, launched in October 2024, which links spot and futures trades and is jointly provided with the Japan Electric Power Exchange (JEPX).
- A one-stop service to greatly streamline the operations needed for a holder of futures positions to make spot purchases is under consideration (aiming to launch in FY2026)

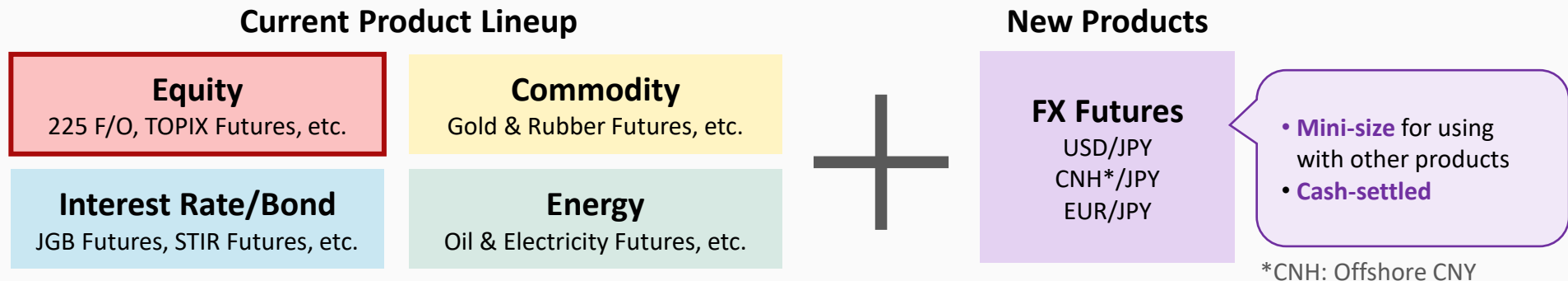


JJ-Link Spot and Futures Linkage Service



FX Futures Market (Planned Launch Apr. 13, 2026)

- JPX's derivative markets have a high ratio of overseas investors, and there is **demand for same-platform hedging of yen exposure from investors who trade Nikkei 225 Futures and Gold Futures.**
 - We have confirmed strong demand from investors (hedge funds, prop trading firms, etc.) in Asia.
 - There are particularly strong calls for currency hedging in US dollars of Nikkei 225 Futures and TOPIX Futures, and calls for currency hedging of products such as Gold Futures from Commodity Derivatives Business Operators and others. There is also demand from domestic securities companies/FIs which have limited interbank access.
- While OSE handles various asset classes as a comprehensive exchange, it has yet to provide FX-related derivatives. **By introducing these, it aims to improve the market's convenience.**
 - We are also considering **margin offsetting** between these and index futures such as Nikkei 225 Futures to improve capital efficiency.



Hedge yen exposure on the same trading platform at OSE

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